



June 22, 2026

Brandee Riley, Village Manager
Village of Saranac Lake, NY
39 Main Street, Suite 9
Saranac Lake, New York 12983

RE: Outsourced Accounting and Advisory Services Arrangement Letter

Dear Ms. Riley:

This letter confirms the Outsourced Accounting and Advisory Services that the Village of Saranac Lake ("Client") has asked BST & Co. CPAs, LLP ("BST") to perform and the terms under which we have agreed to perform that work. The intention of this letter is to confirm your understanding of, and agreement with, both what is included with our services, as well as the limitations of the Outsourced Accounting and Advisory Services you have asked us to perform.

Services To Be Provided and Fees

At your request and under your direction, we will perform the Outsourced Accounting and Advisory Services described in Appendix A (the "Services") and Appendix B (the "Fees"). Additionally, if you have questions and/or concerns regarding your ongoing financial reporting, accounting records, and business management issues, we may provide additional assistance and describe alternatives of which we are aware. Our advice and related alternatives will be based on our knowledge, training, and experience, but at all times, the decisions you make are strictly yours, as is the responsibility for maintaining the financial records of your company. We encourage you to reflect on our recommendations and implement what you believe is best for your company.

Your Responsibilities

You authorize BST to accept instructions from you and/or from the staff you designate for this engagement.

You agree that you are responsible for the proper recordkeeping of transactions in the records, the safekeeping of assets, and the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America.

You are responsible for making staff or other needed resources, including but not limited to timely system access and source documentation (such as bank statements/images, payroll reports, debt statements, reserve documentation, prior audit/filing support) available during our ongoing work with you, designating a Village approver/decision-maker for account policy choices and journal entry approvals, provide timely responses to questions and calls for decisions to achieve the objectives of the engagement.

We will prepare your New York State Office of the State Comptroller Annual Financial Report (AFR) report as "Preparer" and the Village Treasurer is responsible for reviewing and certifying the AFR on the online platform. If the information you provide is not submitted in a timely manner or is incomplete or unusable, we reserve the right to charge additional fees and expenses for services required to correct the problem and/or update your accounting records upon receipt of past due information.



Your Responsibilities Continued

If this occurs, we will contact you to discuss the matter and the anticipated delay in performing our services. We reserve the right to suspend or terminate our work. Upon suspension or termination, we will use commercially reasonable efforts to transfer information in our possession that you are entitled to per the AICPA Code of Professional Conduct to your designated representative.

Computer Consulting Limitations

We have a basic understanding of computer hardware, but our area of expertise is in accounting software and related integrated applications. We do not have the skill set to work on your network, computer hardware, Windows configuration, mapping of drives or any other computer-related issues. We advise that you maintain an ongoing relationship with a qualified IT professional and/or company to ensure that you have assistance available when technology needs arise. This includes your obligation to ensure that you have access to the internet to work with the software solutions and other “cloud-based” applications that we will use as a core part of the services we provide to you.

Your Investment

Your financial investment in your ongoing services with us as well as the scope of our services with you is outlined in the Appendices of this Agreement. Client Advisory and Accounting Services fees will be analyzed on a quarterly basis during the 1st year. If the volume of ongoing transaction processing, the complexity of the Services you request, or other matters change relating to the Services, we will communicate any related changes and discuss a new fee structure with you.

Requests for Additional Services

We want to assure you that you will never be surprised by the price for any service we provide. Therefore, whenever possible, we adopt a “Service Order” Policy. If you request that we provide services beyond those outlined in this agreement, we will be happy to provide you with a “Service Order” outlining the scope of that request, our fees, and anticipated timeline for those services. Although we strive to meet your needs, we reserve the right to decline a request for additional services that are outside the scope of services we provide, our expertise or for any other reason. If we are unable to define the scope to be able to provide a fixed fee for the project, we will invoice at standard hourly rates.

Out of Pocket Expenses

You will be charged for travel and for any out-of-pocket expenses we incur on your behalf (technology, office supplies, postage, etc.). Generally, these charges will be invoiced monthly and will be due within 30 days of the invoice date. However, we reserve the right to request payment in advance for estimated out-of-pocket expenses at our discretion.

Mileage is billed outside of a 5-mile radius of 10 British American Blvd, Latham, NY 12110. Travel time is billable, round trip. All other terms are as outlined in the “Fees” section of this Agreement and Appendices.

There is typically a 3-5% adjustment each year that mirrors a “salary” adjustment. This increase will be communicated to you each year.

Out of Scope Services

Out of Scope Services, those not described in Appendix A (the “Services”), will be charged at our hourly rates listed on Appendix B.



Legally Required Services

In the event that we are required to respond to a subpoena, court order or other legal process for the production of documents and/or testimony relative to information we obtained and/or prepared during the course of this engagement, you agree to compensate us at our standard hourly rates at the time the services are performed. We will request a retainer payment in advance of the services being performed, as well as ongoing replenishments of the retainer. You also agree to reimburse us for all out-of-pocket expenses incurred in that regard.

Confidentiality

BST agrees to take reasonable steps to protect all Confidential Information (as defined below) and to use the Confidential Information only in connection with performing the Services. For purposes of this agreement, "Confidential Information" shall mean any and all information which is private and not in the public domain about the Client or its affiliates that is provided, obtained, or produced in connection with the carrying out of the services in written, oral, digital or other tangible form, including, without limitation, all information relating to the Client's business, customers, intellectual property, processes, strategies, all portions of any analyses, compilations, data, studies, or other documents prepared by BST that contain or are based on any Confidential Information. Confidential Information does not include any information that: (a) is or becomes generally available to the public other than as a result of BST's material breach of this Agreement; (b) is obtained by BST on a non-confidential basis from a third party that, to BST's knowledge, was not contractually restricted from disclosing such information; (c) was in BST's possession before the Client's disclosure hereunder; or (d) was or is independently developed by BST without using any Confidential Information. BST agrees to take reasonable steps necessary to ensure that the confidentiality of the Confidential Information is maintained and that such Confidential Information is protected from unauthorized disclosure, but not to a greater extent than the Client itself uses to protect Confidential Information. BST represents that it informs its personnel concerning maintaining the confidentiality of client information. The parties hereto agree that equitable relief shall be available in the event of any breach of the provisions of this agreement. Such remedies shall not be deemed to be the exclusive remedies for a breach of this agreement but shall be in addition to all other remedies available at law or equity. BST acknowledges and agrees that the Client retains its entire right, title, and interest in and to all Confidential Information, and no disclosure of Confidential Information hereunder will be construed as a license, assignment, or other transfer of any such right, title, and interest to BST or any other person.

You assume all responsibility relating to adherence with privacy and disclosure requirements relating to the use and sharing of information in your industry.

Third-Party Disclosure and the Use of Third-Party Services

Unless you indicate otherwise, you consent to and authorize our firm to transmit Confidential Information that you provide to us to third parties in order to facilitate delivering our services to you. Examples of such transmissions may include, but are not limited to, access to your contact information by members of our team (independent contractors such as consultants, administrative assistants, or third-party developers), transfer of accounting information and other data files via the internet, online back-up services, website developer and hosting services (for newsletter and order processing), or a credit card processing company. We only work with established companies that we believe to be reputable and that have demonstrated their commitment to safeguarding your data. As the paid provider of professional services, our firm remains responsible for exercising reasonable care in providing such services, and our work product will be subjected to our firm's customary quality control procedures. Please feel free to inquire if you would like additional information regarding the transmission of Confidential Information to entities outside the firm. If BST is required by applicable law or legal process to disclose any Confidential Information, BST shall, before making such disclosure, use commercially reasonable efforts to notify Client of such requirements to afford Client the opportunity to seek, at Client's sole cost and expense, a protective order or other remedy.



Electronic (Email) Communications

In connection with this engagement, we may communicate with you or others via email transmission. It is our intent to use secure encrypted email whenever possible. We cannot guarantee or warrant that emails from us will be properly delivered and read only by the addressee. Therefore, we specifically disclaim and waive any liability or responsibility whatsoever for interception or unintentional disclosure of emails transmitted by us in connection with the performance of this engagement. In that regard, you agree that we shall have no liability for any loss or damage to any person or entity resulting from the use of email transmissions, including any consequential, incidental, direct, indirect, or special damages, such as loss of revenues or anticipated profits, or disclosure or communication of Confidential Information.

Record Retention

During the course of our work with you, we will use one or more third-party applications (including internet-based application providers) to provide portions of our services to you. This may include online filing of your Accounts Payable or other business documents stored within your accounting software. By signing this agreement, you confirm that you understand the services being provided and also agree that BST is not liable for record retention, or any other aspect of the services provided by these third parties, even if we absorb the cost (in part or in full) of a third-party service as a benefit to you. You at all times assume responsibility for a decision to maintain hard copies of your original documents or to limit your document retention to the digital copies stored by the web application.

It is our policy to keep our electronic and work paper files electronically for three years, unless otherwise required by tax or other regulatory agencies. All work paper and miscellaneous report copies that we are not required to retain are discarded at the conclusion of the engagement. At the end of three years electronic import files may be erased. In the unlikely event that we do obtain any hard copy documents from you, all original paper documents provided by you will be returned to you promptly as our work is complete. We do not keep copies of all documents. It is your responsibility to safeguard your documents in case of future need. We may occasionally keep some copies we deem necessary to our work.

Our workpapers are the property of our firm and will be maintained by us in accordance with our firm's record retention policy and any applicable legal and regulatory requirements. Our workpapers are not a substitute for your own records and do not mitigate your record retention obligations under any applicable laws or regulations. Our policies require that we maintain workpapers for three years unless otherwise agreed upon. Catastrophic events or physical deterioration may result in damage to or destruction of our firm's records, causing the records to be unavailable before the expiration of the retention period as stated in our record retention policy.

If our engagement with you ends for any reason, you will have the option to continue any third-party subscription-based services at your expense (in some cases we may have absorbed the cost of these services during our work with you). You agree to complete the transfer of services to your name and assume responsibility for payment within thirty (30) days of the end of our work with you. Our "end date" will be defined as the thirty-first (31st) business day following the date shown on the email or letter of termination/resignation transmitted by either party unless a negotiated date is agreed to by both parties. You understand that if you do not assume responsibility for these services, they may be cancelled. Additional fees may apply if you elect to restore those services (if that option is available from the service provider) or request copies (digital or hard copy) of records from the third-party provider.

Claims Resolution

The Client and BST agree that no claim arising out of services rendered pursuant to this agreement shall be filed more than two years after the preparation date of the financial statements related to the claim. The Client waives any claim for punitive damages. BST's liability for all claims, damages and reasonable costs to the Client arising from this engagement is limited to the amount of fees paid by the Client to BST for the Services.



Severability

If any term or provision of this agreement is determined to be invalid or unenforceable, such term or provision will be deemed stricken and all other terms and provisions will remain in full force and effect.

Third-Party Settlements

In the event that we are or may be obligated to pay any cost, settlement, judgment, fine, penalty, or similar award or sanction as a result of a claim, investigation, or other proceeding instituted by any third party directly or indirectly arising out of the provision of the Services, then to the extent that such obligation is or may be a direct or indirect result of your intentional or knowing misrepresentation or provision to us of inaccurate or incomplete information in connection with this engagement, and not any failure on our part to comply with professional standards, you agree to indemnify, defend, and hold BST harmless as against such obligations.

Governing Law

This Agreement shall be governed by and construed in accordance with the laws of the State of New York without regard to the principles of conflicts of law thereof.

Termination of Services

Either party may terminate this agreement at any time without cause by providing sixty (60) days' written notice to the other party. Upon receipt of that notice a termination letter and plan will be prepared. If services are terminated, the Client agrees to assume responsibility for the transfer of any 3rd party vendor services as described earlier in this agreement; provided, however, that BST agrees to provide reasonable assistance to Client in the transition of its books to a third party or employee so long as Client continues to pay any fees due and owing hereunder.

You understand and agree that we may withdraw from the present engagement at any time for any reason at our sole discretion. In particular, you agree that if you fail to provide the requested information or pay for services for this engagement on the agreed-upon schedule, we either may discontinue performing services for you until all outstanding balances are paid and/or may withdraw from the engagement sixty (60) days after the mailing of written notice to you at the same address to which statements are sent. You agree that we will not be responsible for your failure to meet government and other deadlines, for any penalties or interest that may be assessed against you resulting from your failure to meet such deadlines, and for any other damages, including consequential damages.

If our work is suspended due to lack of payment and we later receive payment from you along with your request that we resume services, we may provide you with an updated timeline for completion of any past due work. We are under no obligation to resume services. You understand that this may result in significant delays in processing.

Notwithstanding the foregoing, either party reserves the right to terminate our work immediately if, during the course of our services, we become aware of any matters that would compromise our professional or legal standing in any way, either in fact or based on confirmed or potential public perception.

Insurance Requirements

You hereby acknowledge that you have business insurance necessary to cover the scope and aspects of the engagement as described in this letter and its related Appendices.



Indemnification

BST shall indemnify, defend, protect and hold harmless the Client, Client's affiliates, and Client's and such affiliates' officers, directors, managers, members, employees, agents, predecessors, and successors (collectively, the "Client Indemnified Parties") from and against any and all damages, fines, fees, penalties, deficiencies, losses, expenses (including, without limitation, reasonable fees of attorneys, accountants and experts) ("Losses") and third-party actions made against or incurred by such entities and persons arising out of, related to or in connection with BST's breach of this agreement or BST's fraud, negligence or willful misconduct.

The Client shall indemnify, defend, protect and hold harmless BST, BST's affiliates, and BST's and such affiliates' officers, directors, managers, members, employees, agents, predecessors, and successors from and against any and all Losses and third-party actions made against or incurred by such entities and persons arising out of, related to or in connection with Client's breach of this agreement or Client's fraud, negligence or willful misconduct.

BST Employee Hiring

If during the term of this agreement or within six (6) months of the termination of this agreement, the Client hires a BST employee or contractor, an 80% finder's fee based upon the employee's new annual salary will be paid to BST within thirty days of placement.

Conclusion

This letter sets forth the entire agreement relating to our work with you. This letter supersedes any prior agreements, discussions, or understandings. No amendment or modification of this agreement shall be valid unless, in writing, signed by both parties to this agreement.

The terms of this agreement are valid if signed by both parties within 14 days of the date of this letter. After that date, an updated agreement may be necessary, which will include any changes to our fees, billing structure, or any other aspect of our work.

If this letter correctly describes your understanding of our engagement, please print and sign a copy of this engagement letter and return it to us.

Sincerely yours,

BST & Co. CPAs, LLP



Sarah A. Walls, CPA
Partner & Practice Leader, Outsourced Accounting & Advisory Services

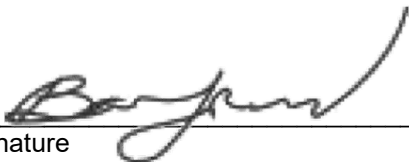
[SIGNATURE PAGE FOLLOWS]



AGREED & APPROVED:

The above letter and the supporting Appendices confirm our understanding of the services to be performed and the limitations of those services. By signing below, BST and the Client respectively agree to the terms of the above contract.

Village of Saranac Lake



Signature

Brandee Reiley

Printed Name

Manager

Title

6/22/2026

Date



Appendix A

Outsourced Accounting & Advisory Services & Fees

BST & Co. CPAs, LLP will restore the Village's ability to produce timely, reliable, supportable financial information by:

- Assessing current state accounting records and reporting
- Cleaning up accounting records from FY 2026 to current in Springbrook, and filing AFR.
- Re-establishing balance sheet and fund-level reconciliations for FY2027.
- Implementing processes, controls, and technology improvements
- Implementing a streamlined month-end close process and reporting cadence
- Transitioning the Village to a fixed-fee managed services model for ongoing finance stability by utilizing BST as their outsourced accounting team

For the BST team to be successful the following is required:

- Remote access to Springbrook GL system
- Village will provide timely information via Box.com our online secure portal to share information
- Village will provide the BST team with access to bank accounts, grant portals, debt, etc.

Phase 1 — ASSESSMENT

1A: Fiscal Year 2026 Accounting Support & Adjustments with AFR Preparation for June 30, 2026

- Reviewing FY 2026 to ensure accuracy and reasonableness of financial reporting, including any necessary adjustments within the general ledger
- Preparing the annual NYS OSC AFR report for year ended June 30, 2026.

1A BILLING RATE: Fixed fee of \$12,000.

1B: Current State Assessment, Advisory and Accounting Clean-up Support

- Supporting current state accounting needs, clean-up, catch-up for July 2026 and forward
- To provide advisory level support on legal advice or municipal advisory services related to financing.

1B BILLING RATE: Hourly, based on the 2026 Standard Rate Chart (see Appendix B), according to the experience level required by BST team to complete the stated objectives above.

1C: Operational Accounting Assessment (People, Process, Technology)

- Conducting a detailed review of Village's existing financial systems, budget preparation, financial reporting, accounting workflows, team member(s) and reporting processes
- Identifying compliance requirements and processes to ensure timely filings
- Assessing the current internal control environment, including authorization, approval, and review processes, especially in areas like purchasing, disbursements, and reconciliation to mitigate risk
- Evaluating the roles of staff in finance and administration, particularly focusing on the adequacy of segregation of duties and oversight with limited resources
- Reviewing overall opportunities for restructuring and organization of general ledger systems, workflows, processes, accounting, and reporting

Outcomes and Recommendations: We will provide recommendations to the Village's Board on processes, financial reporting, technology recommendation(s), and systematic improvements to the overall financial and operational structure.

1C BILLING RATE: Hourly, based on the 2026 Standard Rate Chart (see Appendix B)

Estimated fee range(s): Not to Exceed \$7,500.



Appendix A

Outsourced Accounting & Advisory Services & Fees Continued

PHASE 2 – IMPLEMENTATION OF RECOMMENDATIONS (APPROVED BY BOARD)

- Implement approved recommendations to streamline and provide increased controls and efficiencies in financial systems and processes
- Work with Village's board and team to document financial processes and procedures
- Work with Village's and team to develop reporting packages, financial forecasts, and other monthly/quarterly deliverables.
- Ensure compliance with required governmental reporting requirements and deadlines
- Create a month-end close process.

Estimated timeframe: 30-60 days (subject to change depending on priorities and resources)

Estimated fee(s): An Implementation Project Plan with estimated cost will be provided to management to review and approve. The cost will depend on Phase 1C Assessment outcomes.

PHASE 3 — MANAGED SERVICES FIXED FEE & DETAILED SCOPE OF WORK

After Phases 1 and 2 are complete, we will work with the Village Board and team to determine a detailed scope of work that may be needed related to ongoing Outsourced Accounting and Advisory services. Once the detailed scope of work is agreed upon, we will provide a monthly fixed fee cost.

These are examples of items likely to be included in the Scope of Work:

- Transactional Bookkeeping Support (AR, AP, CC, Payroll)
- Month-end close management and completion package.
- Monthly bank recs and cash-by-fund tie-out.
- Balance sheet reconciliations (defined accounts) and variance explanations.
- Interfund and reserve/restriction/grant tracking.
- Board reporting package (monthly).
- Ensuring compliance reporting(s) is filed in a timely fashion
- Participation in Village Board meetings, if applicable.
- Assistance in preparation of annual budget

Phase 3 Estimated fee range: \$4,500 to \$6,500 per month

With complete records at the conclusion of the 2027 fiscal year, we may also be able to provide Compliance Reporting service of the AFR Report at a flat rate of \$3,500 as preparer, with Client reviewing and certifying the report filing.

BST & Co CPAs can also provide the following Out of Scope services, upon request, for an additional fee:

- Forensic / fraud investigation services
- BST Consulting Group Services:
 - Talent & Strategies
 - Marketing
 - Cybersecurity



Appendix B
BST & Co CPAs 2026 Hourly Rate Chart

2026 Hourly Rates	
Role	Standard Rates
Partner	\$360-\$575
Leader & Director	\$275-\$305
Outsourced CFO	\$225-\$275
Business Advisor	\$225-\$250
Senior Outsourced Controller	\$215-\$245
Outsourced Controller	\$160-\$210
System Implementation Project Manager	\$170-\$200
Accounting Manager	\$180-\$195
Senior Accounting Specialist	\$165-\$175
Accounting Specialist	\$105-\$130

